

Course: Microeconomics 1

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Specialty: BME 2

SECTION 1 (10 marks):

INSTRUCTIONS; select **ONLY ONE** of the 2 options below to answer. Each option is 10 marks and **ONLY 1 WILL BE CONSIDERED**

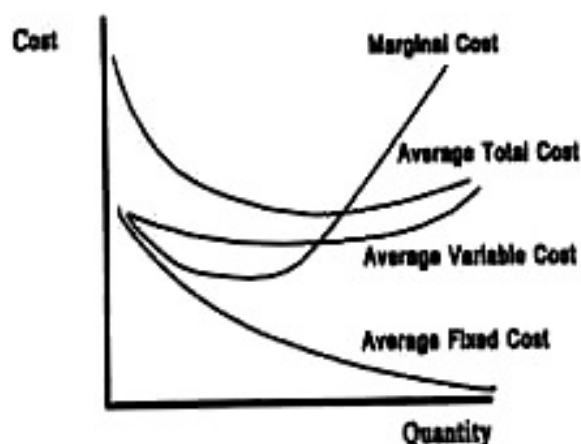
OPTION 1: A country produces two goods: **cars** and **computers**. The production possibilities for this country are as follows:

Combination	Cars (thousands)	Computers (thousands)
A	0	100
B	20	80
C	40	60
D	60	40
E	80	20
F	100	0

Using the data above, answer the following questions:

- Plot the data above graphically and briefly comment on the shape of the PPC
- Is the country operating efficiently at combination D? Explain why or why not.
- What is the marginal opportunity cost of producing one more car between combinations B and C?
- If the country is producing 40 thousand cars and 60 thousand computers (combination C), what would be the opportunity cost of producing an additional 10 thousand cars

OPTION 2: The following diagram presents the average costs and marginal cost curve in graphical form.



- Is the average cost curve above most likely in the long run or short run